The Villas at Worthington Homeowners Association, Inc.

2025

ON-SITE RESERVE STUDY

A Financial Guide for your Community Reserves

Presented by:

Community Reserve Specialists

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EXPLANATION OF EXHIBITS

- Executive Summary: - A brief overview of the report including Reserve Study standards, identification of the Association, purpose and need for a Reserve Study, current fund status, recommended future contribution plan, general explanation and level of Reserve Study and the terms used within.
- Exhibit A: - A collection of photographs identifying the reserve components and any noticeable conditions affecting the future projection of costs.
- Exhibit B: - Spreadsheets containing the list of components, the expected useful and remaining lives, current and projected costs, considerations for inflation and interest being earned, and a funding plan to achieve and maintain a fully funded ("on pace") status.
- Exhibit C: - Pie Chart and Graph giving a visual representation of the compiled data within the spreadsheets and future calculations.
- Exhibit D: - Assumptions, Disclosures, Ohio Laws, Credentials, List of Trusted Vendors.

The Villas at Worthington Homeowners Association, Inc.

EXECUTIVE SUMMARY

This represents a "Full" Reserve Study as requested by the Board of Directors of The Villas at Worthington Homeowners Association, Inc., (the Association) located in North Royalton, Ohio. We submit our findings in this report. A Reserve Study is a visual, non-invasive evaluation of the Community assets. This evaluation was completed August 2025 for fiscal year beginning 2025.

A Reserve Study is a financial planning tool that identifies the status of the reserve fund as it relates to the future major projected common area expenditures. A Reserve Study is not a structural integrity report nor a component replacement instruction tool.

***Component Deterioration is Inevitable and therefore NOT Negotiable.**

RESERVE STUDY STANDARDS

This Full Reserve Study follows and meets or exceeds the standards set forth by Community Association Institute (CAI), and the National Reserve Study Standards (NRSS), the Association of Professional Reserve Analysts (APRA). Following the recommended funding plan(s) will also fulfill the requirements set by Fannie Mae, Freddie Mac (Sept. 2023), and the State of Ohio requirements for the Boards of Directors of Home/ Condominium Associations (ORC 5311.081, 5312.06) most recently updated in SB-61, Sept. 2021.

COMMUNITY IDENTIFICATION

The Association is a homeowner style development of 114 units. The Community was established approximately 2007. in the city of North Royalton. Our 30-year projections take into account the Associations 6 major Reserve Components / Categories.

PURPOSE

The purpose of this Reserve Study is to help prevent the need for any future undesirable funding methods such as loans or special assessments. Although there may be a short-term need to reach the necessary funding level to achieve a fully funded status, we recommend small annual increases when possible and necessary as provided in the recommended contributions.

We consider the unaudited current status of the Associations Reserve Fund to be:

Fully Funded

The current unaudited starting reserve fund cash balance as provided by Management / Board is / was *$69,404*. CRS uses the "cash flow" method within the Reserve Funding Plan (exhibit B, funding) allowing the Association to achieve and remain at a fully funding (annually approving) / fully funded (on pace) status by simply following the recommended contributions.

Recommended Reserve Contributions									
Year	$	Year	$	Year	$	Year	$	Year	$
2025	$4,762	2031	$11,304	2037	$12,730	2043	$14,336	2049	$16,145
2026	$10,238	2032	$11,530	2038	$12,985	2044	$14,623	2050	$16,468
2027	$10,443	2033	$11,761	2039	$13,244	2045	$14,915	2051	$16,797
2028	$10,652	2034	$11,996	2040	$13,509	2046	$15,214	2052	$17,133
2029	$10,865	2035	$12,236	2041	$13,779	2047	$15,518	2053	$17,476
2030	$11,082	2036	$12,480	2042	$14,055	2048	$15,828	2054	$17,825

A Reserve Study is simply a "snapshot in time". The Board should monitor the financials annually to ensure there are no major deficiencies or variances. A Reserve Study is a financial guide, not a strict list of required expenditures. The Board should use monies from the reserves to replace/repair any component or part thereof listed in the study as needed, not necessarily in the timeframe projected within the study. The projections are straightforwardly developed to anticipate future financial needs, not to dictate when these expenditures should occur.

Although our Reserve Study projections cover a 30-year period, it is important to note, a Reserve Study should be updated every 3 years or less to meet the Fannie Mae and Freddie Mac requirements (Sept. 2023), as well as the overall financial well-being of the Community. This study is primarily designed to set both short term and long-term goals more accurately and safely by utilizing long term planning. It is following the recommended contributions that will keep the Community in compliance and good standing of the State of Ohio, Fannie Mae and Freddie Mac, thus maintaining Community property values. Keep in mind, Board Members hold responsibility as fiduciaries to act in a manner that best serves and protects the Community Members property values and financial well-being. This study serves as a simple, easy to follow, “financial GPS” for the Board to use as a guide to meet these noted requirements.

Respectfully submitted,

Lian Velasco *Narrative Processing*

John Stojak, R.A. *Research Analyst*
Ben Sullivan, AMS, CMCA, R.A. *Research Analyst*

Pete Zurowski, S.R.A. *Senior Research Analyst*

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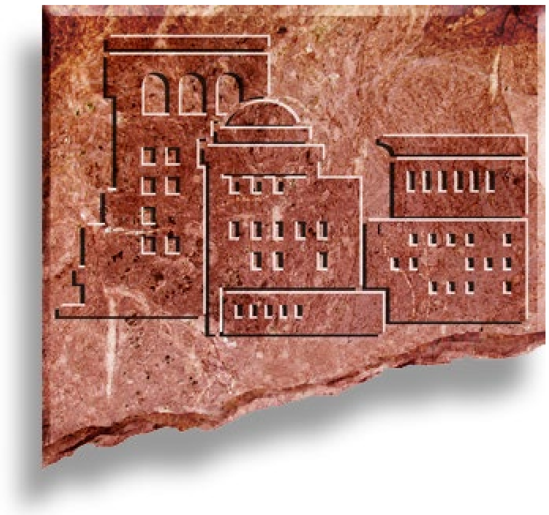
Reserve Specialist / Professional Reserve Analyst

FULL RESERVE STUDY



IN THIS SECTION:

- NARRATIVE REPORT
- CONCLUSION
- DEFINITIONS

EVALUATION NARRATIVE

We have conducted a Full Reserve Study, as requested by the Board of Directors of the named Community:

The Villas at Worthington Homeowners Association, Inc.

North Royalton, Ohio

Our findings are as follows. The effective date of this study is the date of our visual, noninvasive inspection, August 2025. Reserves are monies set aside for future expenditures to repair, replace and maintain Reserve Components throughout their useful life. Reserving funds annually, as recommended, to stay on pace with forecasted needs is the fairest and simplest way to achieve and maintain a fully funded status.

ASSUMPTIONS FOR CALCULATING INFLATION AND INTEREST

Our 30-year projections consider current inflationary factors as well as a cautious approach for future forecasting. This report reflects a 3.0% inflation rate. Although we project over 30 years, the goal is to safely and conservatively guide you through the next 3 years at which point a formal update is strongly recommended. This report reflects a current 0.25% return on invested funds. Although this number may not match the current rate being achieved, it is important to remember that 100% of the funds in the reserves are not always invested. Also, this report does not take into consideration any tax liability for earnings on these invested funds. Each Community may potentially have different tax considerations based on the entire budget and spending exclusive to each Association.

STRUCTURAL AND INSPECTION REPORTING

Since the collapse of the Champlain Towers in Florida in 2021, State and Federal Legislators are strongly considering putting structural integrity inspections into law for multi-story occupied buildings. We strongly recommend that Associations residing in older multi-story buildings start/continue to conduct regular structural integrity inspections for the safety of the Community. Both the cost of such inspections, as well as the resulting projected repairs, should now be considered reservable items.

MAINTAINING PROPERTY ASSETS

The Board is responsible for maintaining common areas and components to preserve property values as well as Community aesthetics. This holds true for components that fall under either the reserves and/or the operating budget.

Items that fall under the operating budget typically include, but are not limited to:

- Landscaping / Snow removal
- Utility bills
- Legal expenses
- Taxes / Fees
- Office Supplies / Administrative
- Insurance
- Annual treatments (pest, pond, etc.)
- General (any additional expenses, normally seen annually, not identified as a component in the Reserve Study or as a useful life prolonging treatment/procedure for a reserve component).

Special Note: The costs of professionally provided studies/inspections (pond(s), structural, etc.) should now be considered and funded in the Reserve Study. The Board is responsible for forwarding this information and/or results of any such report to the Reserve Study provider in a timely manner, once made available.

Special Note: CRS does consider components that fall below a minimum threshold of cost as a potential operating expense. CRS also may combine similar components and create a line-item expenditure projection using an allowance format. We find this helps alleviate the need for occasional large fluctuations in the annual budgeting as well as better preparing the Association financially to avoid the need for amending budgets or special assessments.

IDENTIFICATION OF SOURCES

CRS gathers data for each report from a variety of sources, including the Board of Directors, Association Managers, contractors, historical property data, inspection reports, and local experts knowledgeable about product costs and life expectancy. CRS considers all available sources when compiling or projecting data.

IDENTIFICATION OF RESERVE COMPONENTS

It is the responsibility of the Board to stay informed about all common areas and components under the Association's responsibility. A dedicated legal firm can assist by reviewing Declarations and Bylaws should any questions arise. The component list in this study was prepared with information provided by the Board of Directors and/or Association Management Team and therefore considered accurate.

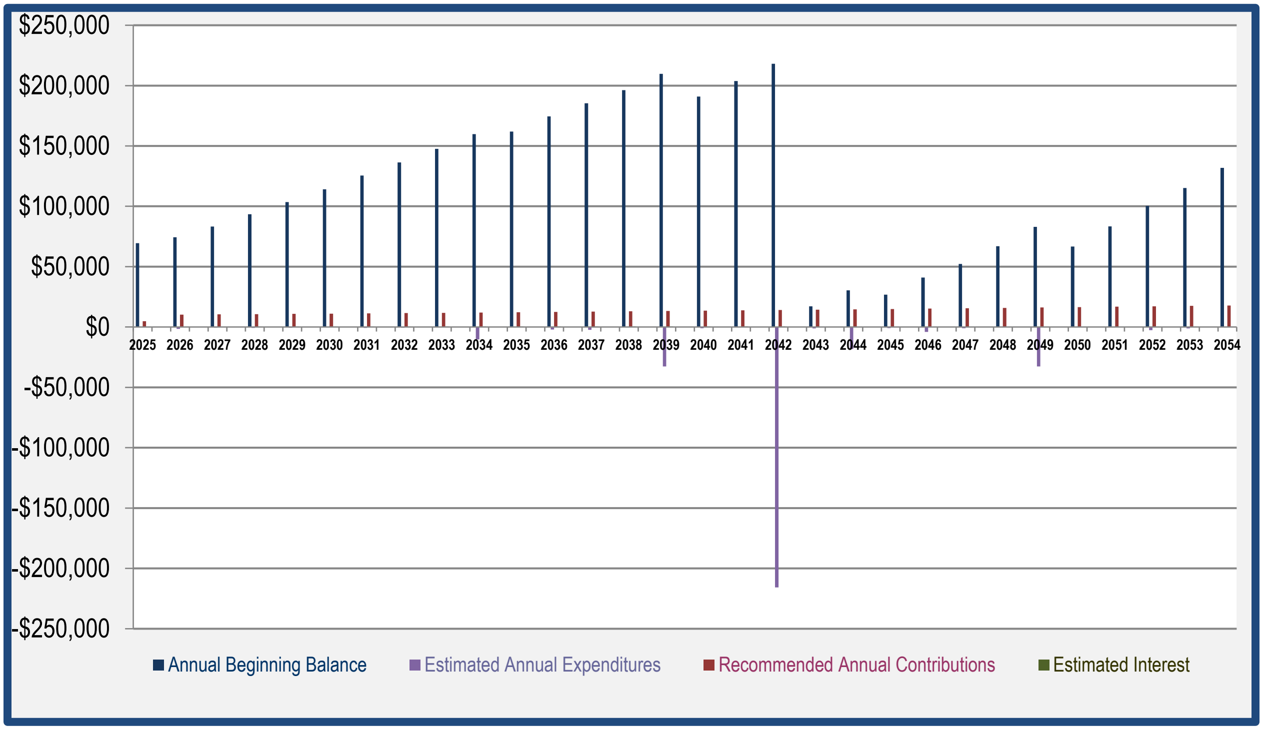
COMPONENT BREAKDOWN

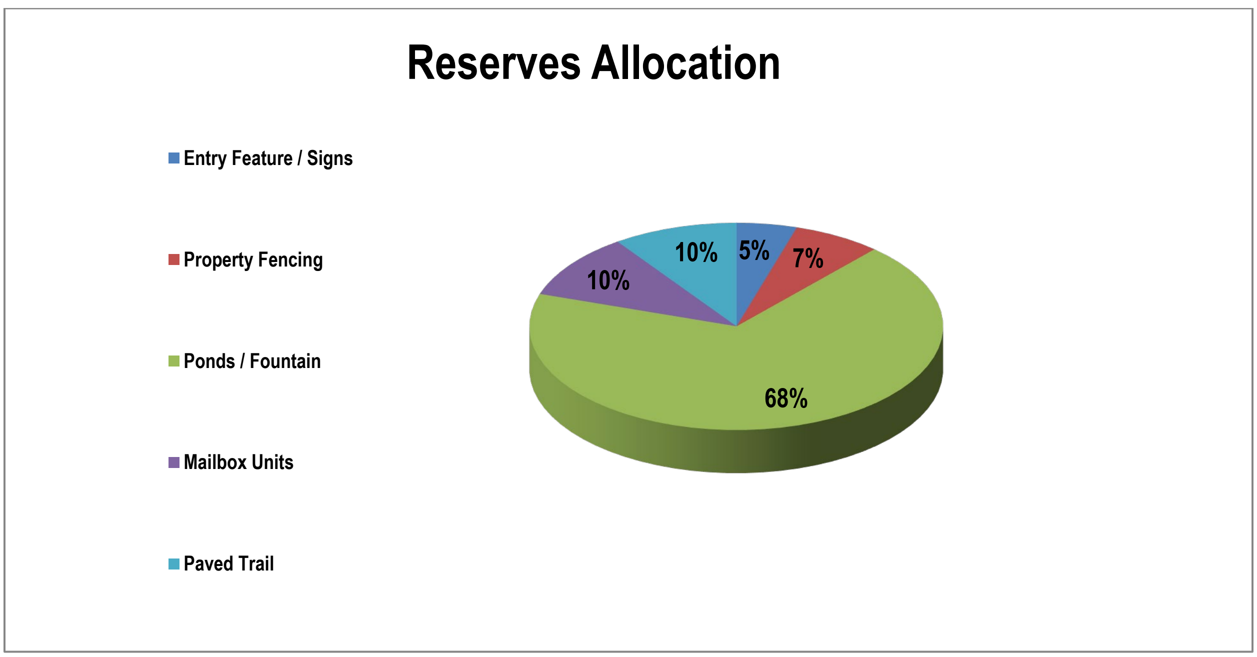
1. Reserve Components
2. Long-Lived Property Elements
3. Replacements and Repairs Funding through the Operating Budget
4. Property Maintained by Homeowners

Reserve Components: Should meet the following criteria:

- The Association has the responsibility to maintain or replace the existing element.
- The need and schedule for this project can be reasonably anticipated. (useful and remaining life can be determined)
- The total cost for the project is material to the Association, can be reasonably estimated, and includes all direct and related costs.

PROJECTIONS GRAPH AND PIE CHART





The pie chart Estimated Future Reserve Expenditures illustrates the relative importance of the Reserve Expenditures and relative funding during the next 30 years. The Association can regard reserve needs for these expenditures as requiring a similar allocation of existing reserves and future Reserve Contributions.

CONCLUSION

Under the direction of the Board of Directors, which acknowledges the necessity of thorough reserve planning, we have conducted a comprehensive Reserve Study of:

The Villas at Worthington Homeowners Association, Inc.

(The Association) located in North Royalton, Ohio. This report presents our findings. The effective date of this

study corresponds to the date of our visual, non-invasive inspection, August 2025. This Reserve Study serves as

a budget-planning tool designed to assess the status of the reserve fund and to provide a stable and equitable Reserve Funding Plan to address anticipated major common area expenditures in the future.

The Association can fund capital repairs and replacements in any combination of the following:

1) Special assessments or increases in the operating budget during years when shortages occur.
2) Loans using borrowed capital for major replacement projects.
3) Level monthly reserve assessments annually adjusted upward for inflation to increase reserves to fund the expected major future expenditures. (Recommended)

This Reserve Study applies the Cash Flow Method to compute the Reserve Funding Plan. The Reserve Funding Plan determines adequate, not excessive, Reserve Contributions through a 30-year Cash Flow Analysis that incorporates the current reserve funds, estimated future interest earned, and projected Reserve Expenditures. The Reserve Expenditures reflect current and future *local* costs of replacement and anticipated inflation. Sources for *local* costs of replacement include our proprietary database, historical costs, and local contractor bids.

The Association is recommended a $4,762 reserve contribution for 2025. We recommend the Association increase the reserve contribution to $10,238 in 2026. The 2026 recommended contribution of $10,238 represents an approximate 12.01% adjustment against the 2024 total Operating Budget of $45,600. The total adjustment of $5,476 represents an *average* monthly increase of $4.00 per owner as identified in **Exhibit B.**

Information Furnished by Management	
January 1, 2025 Unaudited Cash Status of the Reserve Fund	$69,404
2025 Budgeted Reserve Contributions	$4,762
Anticipated Interest on Reserve Funds	$179
Less Anticipated Reserve Expenditures	$0
Anticipated Year End Balance - 2025	**$74,345**

The Reserve Funding Plan recommends year-end accumulated reserves of approximately $149,995. This amount is considered desirable or necessary, considering the age, size, and complexity of the property. It is essential for the Board to conduct an ongoing review and update this Reserve Study every three years to ensure the continued equity of the funding plan since a Reserve Study represents a snapshot in time. Due to current requirements from Primary Lenders (Fannie Mae and Freddie Mac), we recommend that updates be completed at least every third year.

[1]DEFINITIONS

Cash Flow Method – Calculates reserve contributions to match annual variable expenditures. Different funding plans are tested against expected expenses until the funding goal is met.

Current cost of replacement – The amount needed today to replace or repair a *Reserve Component*. This includes the quantity of the component and its unit cost, as well as removal and disposal costs where applicable.

Funding Goal – The stated purpose of this Reserve Study to determine the adequate, not excessive, future annual, reasonable *Reserve Contributions* to fund future *Reserve Expenditures.*

Future Cost of Replacement – *Reserve Expenditure* derived from the inflated current cost of replacement or current cost of replacement as defined above, with consideration given to the effects of inflation on local market rates for materials, labor, and equipment.

Long-Lived Property Component – Property component of Association responsibility not likely to require capital repair or replacement during the next 30 years with an unpredictable remaining Useful Life beyond the next 30 years.

PRN – (**Pro re nata)** a Latin phrase meaning as needed or as the circumstance arises.

Remaining Useful Life - The estimated remaining functional or useful time in years of a *Reserve Component* based on its age, condition, and maintenance.

Reserve Component – Property elements with, 1) Association responsibility, 2) limited Useful Life expectancies, 3) predictable Remaining useful Life expectancies and 4) a replacement cost above a minimum threshold.

Reserve Component Inventory – Line Items in **Exhibit B *Reserve Expenditures*** that identify a *Reserve Component.*

Reserve Contribution – An amount of money set aside or *Reserve Assessment* Contributed to a *Reserve Fund* for future *Reserve Expenditures* to repair or replace *Reserve Components.*

Reserve Expenditure – *Future Cost of Replacement* of a *Reserve Component*

Reserve Fund Status – The accumulated amount of reserves in dollars at a given point in time, i.e., at year-end.

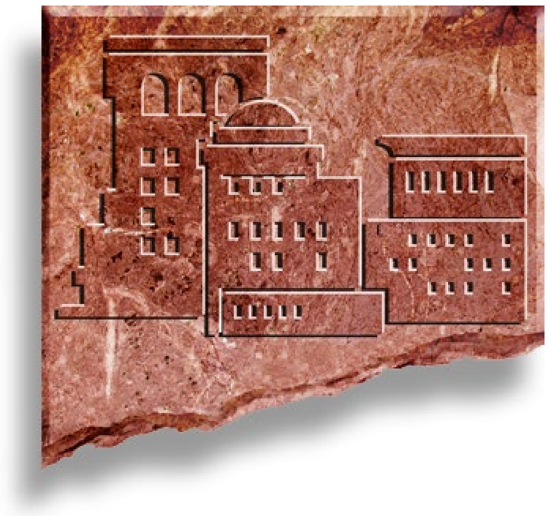
Reserve Funding Plan – The portion of the Reserve Study identifying the *Cash Flow Analysis* and containing the recommended Reserve Contributions and projected annual expenditures, interest earned and reserve balances.

Reserve Study - A budget-planning tool that outlines the current state of the reserve fund with a Funding Plan to cover future major common area expenses.

Useful Life – The anticipated total time in years that *Reserve Component* is expected to serve its intended function in its present application or installation.

Useful Life – The anticipated total time in years that *Reserve Component* is expected to serve its intended function in its present application or installation.

PHOTOGRAPHS



IN THIS SECTION:

- SATELLITE PHOTO
- ENTRY FEATURE / SIGNAGE
- FENCING
- PONDS
- MAILBOX UNITS
- CONCRETE
- FOUNTAIN SYSTEM

The Villas at Worthington

Satellite Image

Entry Features (signage, monument)

Entry Fencing-vinyl

Mailbox Clusters

Community Pond(s)

Fountain System

Concrete Pathway

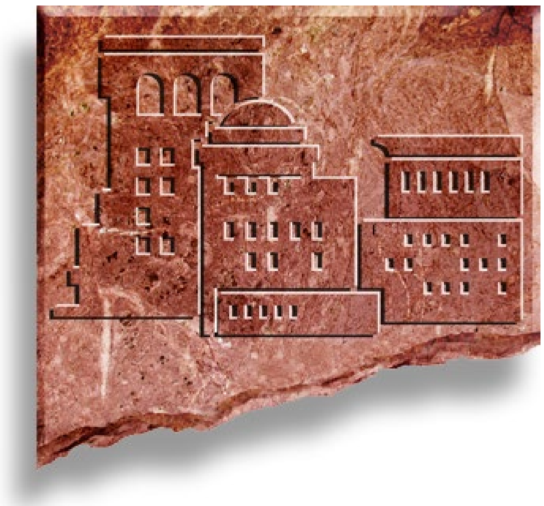
Solid Panel Fencing

Split Rail Fencing

Damaged Monument

Peeling Paint on Post

SPREADSHEETS



IN THIS SECTION:

- RESERVE EXPENDITURES
- RESERVE FUNDING PLAN

Community Reserve Specialists

Exhibit B

RESERVE EXPENDITURES
for
The Villas at Worthington Homeowners Association, Inc.

Explanatory Notes:
1) 3.00% is the estimated future Inflation Rate for estimating Future Replacement Costs.
2) Fiscal Year is beginning January 1 and ending December 31.

Line Item	Estimated Quantity	Units	Reserve Component Inventory	Estimated Year Last Replaced	Life Analysis, Years Useful	Life Analysis, Years Remaining	Estimated Year of 1st Replacement	Current Unit Cost	Current Replacement Cost	Total Future Cost of Replacement
			PROPERTY COMMON ELEMENTS REPLACE							
1	0	x	x	x	x	x	x	0.00	0	**0**
2	2	Each	Entry Signs	x	20-25	20	2044	2,500.00	5,000	**8,768**
3	1	Allowance	Entry Feature (tuckpoint)	x	8-12	2	2026	1,500.00	1,500	**6,411**
4	120	Linear Feet	Property Fencing (vinyl)	x	30-35	20	2044	45.00	5,400	**9,469**
5	1	Allowance	Property Fencing (wood-split rail)	x	6-10	5	2029	500.00	500	**3,323**
6	160	Linear Feet	Property Fencing (solid wood)	x	20-25	10	2034	45.00	7,200	**9,394**
7	1	Allowance	Ponds (75400 sasf)	x	25-30	18	2042	130,000.00	130,000	**214,870**
8	9	Each	Mailbox Units	x	20-25	15	2039	2,400.00	21,600	**32,672**
9	1,100	Square Feet	Paved Trail (concrete)	x	35-40	25	2049	14.00	15,400	**31,305**
10	1	Allowance	Fountain System	x	4-6	3	2027	500.00	500	**4,753**
11	0	x	x	x	x	x	x	0.00	0	**0**
12	0	x	x	x	x	x	x	0.00	0	**0**
13	1	Each	Reserve Study Updates	2025	3	4	2028	660.00	660	**9,499**
14	0	x	x	x	x	x	x	0.00	0	**0**
15	0	x	x	x	x	x	x	0.00	0	**0**
			PROPERTY COMMON ELEMENTS PRN							
16	0	x	x	x	x	x	x	0.00	0	**0**
17	0	x	x	x	x	x	x	0.00	0	**0**
18	0	x	x	x	x	x	x	0.00	0	**0**
19	0	x	x	x	x	x	x	0.00	0	**0**
20	0	x	x	x	x	x	x	0.00	0	**0**
21	0	x	x	x	x	x	x	0.00	0	**0**
			Anticipated Expenditures, By Year						**187,760**	**330,464**

Line Item	1 2025	2 2026	3 2027	4 2028	5 2029	6 2030	7 2031	8 2032	9 2033	10 2034	11 2035	12 2036	13 2037	14 2038	15 2039
PROPERTY COMMON ELEMENTS REPLACE															
1	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
2	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
3	0	1,545	0	0	0	0	0	0	0	0	0	2,076	0	0	0
4	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
5	0	0	0	0	563	0	0	0	0	0	0	0	713	0	0
6	0	0	0	0	0	0	0	0	0	9,394	0	0	0	0	0
7	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
8	0	0	0	0	0	0	0	0	0	0	0	0	0	0	32,672
9	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
10	0	0	530	0	0	0	0	615	0	0	0	0	713	0	0
11	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
12	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
13	0	0	0	721	0	0	788	0	0	861	0	0	941	0	0
14	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
15	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
PROPERTY COMMON ELEMENTS PRN															
16	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
17	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
18	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
19	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
20	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
21	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Anticipated Expenditures, By Year	**0**	**1,545**	**530**	**721**	**563**	**0**	**788**	**615**	**0**	**10,255**	**0**	**2,076**	**2,367**	**0**	**32,672**

Line Item	Quantity	Units	Reserve Component Inventory	16 2040	17 2041	18 2042	19 2043	20 2044	21 2045	22 2046	23 2047	24 2048	25 2049	26 2050	27 2051	28 2052	29 2053	30 2054
			PROPERTY COMMON ELEMENTS REPLACE															
1	0	x	x	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
2	2	Each	Entry Signs	0	0	0	0	8,768	0	0	0	0	0	0	0	0	0	0
3	1	Allowance	Entry Feature (tuckpoint)	0	0	0	0	0	0	2,790	0	0	0	0	0	0	0	0
4	120	Linear Feet	Property Fencing (vinyl)	0	0	0	0	9,469	0	0	0	0	0	0	0	0	0	0
5	1	Allowance	Property Fencing (wood-split rail)	0	0	0	0	0	903	0	0	0	0	0	0	0	1,144	0
6	160	Linear Feet	Property Fencing (solid wood)	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
7	1	Allowance	Ponds (75400 sasf)	0	0	214,870	0	0	0	0	0	0	0	0	0	0	0	0
8	9	Each	Mailbox Units	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
9	1,100	Square Feet	Paved Trail (concrete)	0	0	0	0	0	0	0	0	0	31,305	0	0	0	0	0
10	1	Allowance	Fountain System	0	0	826	0	0	0	0	958	0	0	0	0	1,111	0	0
11	0	x	x	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
12	0	x	x	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
13	1	Each	Reserve Study Updates	1,028	0	0	1,124	0	0	1,228	0	0	1,342	0	0	1,466	0	0
14	0	x	x	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
15	0	x	x	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
			PROPERTY COMMON ELEMENTS PRN															
16	0	x	x	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
17	0	x	x	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
18	0	x	x	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
19	0	x	x	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
20	0	x	x	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
21	0	x	x	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
			Anticipated Expenditures, By Year	**1,028**	**0**	**215,696**	**1,124**	**18,236**	**903**	**4,018**	**958**	**0**	**32,647**	**0**	**0**	**2,577**	**1,144**	**0**

Community Reserve Specialists

Explanatory Notes:

1. $69,404 Reserve Fund Balance Jan.1, **2025** (projected/reported)
2. Year 1 is budgeted, years 2-30 are recommended.
3. 0.25% The estimated rate of return on invested reserves.
4. Accumulated year end reserves consider the age, size, overall condition and complexity of the property **2054**
5. Anticipated Reserves at Year End should be no-less-than the insurance deductible... currently **$1,000**

RESERVE FUNDING PLAN

CASH FLOW ANALYSIS

The Villas at Worthington Homeowners Association, Inc.

North Royalton

		1	2	3	4	5	6	7	8	9	10	11	12	13	14	15
		2025	**2026**	**2027**	**2028**	**2029**	**2030**	**2031**	**2032**	**2033**	**2034**	**2035**	**2036**	**2037**	**2038**	**2039**
	Reserve at Beginning of Year (Note 1)	$69,404	$74,345	$83,236	$93,369	$103,545	$114,119	$125,500	$136,343	$147,612	$159,756	$161,910	$174,565	$185,420	$196,262	$209,753
Plus	**Total Recommended Reserve Contribution (Note 2)**	$4,762	$10,238	$10,443	$10,652	$10,865	$11,082	$11,304	$11,530	$11,761	$11,996	$12,236	$12,480	$12,730	$12,985	$13,244
Plus	**Additional Contribution/Special Assessment**	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0
Plus	**Estimated Interest Earned, During Year (Note 3)**	$179	$198	$220	$246	$272	$298	$327	$354	$383	$414	$419	$451	$479	$506	$540
Less	**Anticipated Expenditures, By Year**	$0	($1,545)	($530)	($721)	($563)	$0	($788)	($615)	$0	($10,255)	$0	($2,076)	($2,367)	$0	($32,672)
	Anticipated Reserves at Year End (Note 5)	**$74,345**	**$83,236**	**$93,369**	**$103,545**	**$114,119**	**$125,500**	**$136,343**	**$147,612**	**$159,756**	**$161,910**	**$174,565**	**$185,420**	**$196,262**	**$209,753**	**$190,865**
	Total increase in funding	**N/A**	**$5,476**	**$205**	**$209**	**$213**	**$217**	**$222**	**$226**	**$231**	**$235**	**$240**	**$245**	**$250**	**$255**	**$260**
	Funding Increase Percentage	**N/A**	**115.00%**	**2.00%**	**2.00%**	**2.00%**	**2.00%**	**2.00%**	**2.00%**	**2.00%**	**2.00%**	**2.00%**	**2.00%**	**2.00%**	**2.00%**	**2.00%**
	Add'l Assessment/Contribution/Unit (Avg)	**N/A**	**$0.00**	**$0.00**	**$0.00**	**$0.00**	**$0.00**	**$0.00**	**$0.00**	**$0.00**	**$0.00**	**$0.00**	**$0.00**	**$0.00**	**$0.00**	**$0.00**
	Per Unit Increase in funding per month (Avg)	**N/A**	**$4.00**	**$0.15**	**$0.15**	**$0.16**	**$0.16**	**$0.16**	**$0.17**	**$0.17**	**$0.17**	**$0.18**	**$0.18**	**$0.18**	**$0.19**	**$0.19**
	Cummulative Per Unit Funding Increase (Avg)	**N/A**	**$4.00**	**$4.15**	**$4.31**	**$4.46**	**$4.62**	**$4.78**	**$4.95**	**$5.12**	**$5.29**	**$5.46**	**$5.64**	**$5.82**	**$6.01**	**$6.20**
	Percentage Increase in Operating Budget	**N/A**	**12.01%**	**0.45%**	**0.46%**	**0.47%**	**0.48%**	**0.49%**	**0.50%**	**0.51%**	**0.52%**	**0.53%**	**0.54%**	**0.55%**	**0.56%**	**0.57%**

		16	17	18	19	20	21	22	23	24	25	26	27	28	29	30
		2040	**2041**	**2042**	**2043**	**2044**	**2045**	**2046**	**2047**	**2048**	**2049**	**2050**	**2051**	**2052**	**2053**	**2054**
	Reserve at Beginning of Year (Note 1)	$190,865	$203,840	$218,145	$17,066	$30,337	$26,816	$40,913	$52,228	$66,937	$82,951	$66,675	$83,328	$100,353	$115,180	$131,819
Plus	**Total Recommended Reserve Contribution (Note 2)**	$13,509	$13,779	$14,055	$14,336	$14,623	$14,915	$15,214	$15,518	$15,828	$16,145	$16,468	$16,797	$17,133	$17,476	$17,825
Plus	**Additional Contribution/Special Assessment**	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0
Plus	**Estimated Interest Earned, During Year (Note 3)**	$493	$526	$562	$59	$93	$84	$120	$149	$186	$226	$186	$228	$271	$308	$350
Less	**Anticipated Expenditures, By Year**	($1,028)	$0	($215,696)	($1,124)	($18,236)	($903)	($4,018)	($958)	$0	($32,647)	$0	$0	($2,577)	($1,144)	$0
	Anticipated Reserves at Year End	**$203,840**	**$218,145**	**$17,066**	**$30,337**	**$26,816**	**$40,913**	**$52,228**	**$66,937**	**$82,951**	**$66,675**	**$83,328**	**$100,353**	**$115,180**	**$131,819**	**$149,995**
	Total increase in funding	**$265**	**$270**	**$276**	**$281**	**$287**	**$292**	**$298**	**$304**	**$310**	**$317**	**$323**	**$329**	**$336**	**$343**	**$350**
	Funding Increase Percentage	**2.00%**	**2.00%**	**2.00%**	**2.00%**	**2.00%**	**2.00%**	**2.00%**	**2.00%**	**2.00%**	**2.00%**	**2.00%**	**2.00%**	**2.00%**	**2.00%**	**2.00%**
	Add'l Assessment/Contribution/Unit (Avg)	**$0.00**	**$0.00**	**$0.00**	**$0.00**	**$0.00**	**$0.00**	**$0.00**	**$0.00**	**$0.00**	**$0.00**	**$0.00**	**$0.00**	**$0.00**	**$0.00**	**$0.00**
	Per Unit Increase in funding per month (Avg)	**$0.19**	**$0.20**	**$0.20**	**$0.21**	**$0.21**	**$0.21**	**$0.22**	**$0.22**	**$0.23**	**$0.23**	**$0.24**	**$0.24**	**$0.25**	**$0.25**	**$0.26**
	Cummulative Per Unit Funding Increase (Avg)	**$6.39**	**$6.59**	**$6.79**	**$7.00**	**$7.21**	**$7.42**	**$7.64**	**$7.86**	**$8.09**	**$8.32**	**$8.56**	**$8.80**	**$9.04**	**$9.29**	**$9.55**
	Percentage Increase in Operating Budget	**0.58%**	**0.59%**	**0.60%**	**0.62%**	**0.63%**	**0.64%**	**0.65%**	**0.67%**	**0.68%**	**0.69%**	**0.71%**	**0.72%**	**0.74%**	**0.75%**	**0.77%**

Note 4

Style HOA
Established 2007

Operating Budget $45,600.00
Eval Date 08/25

Units 114

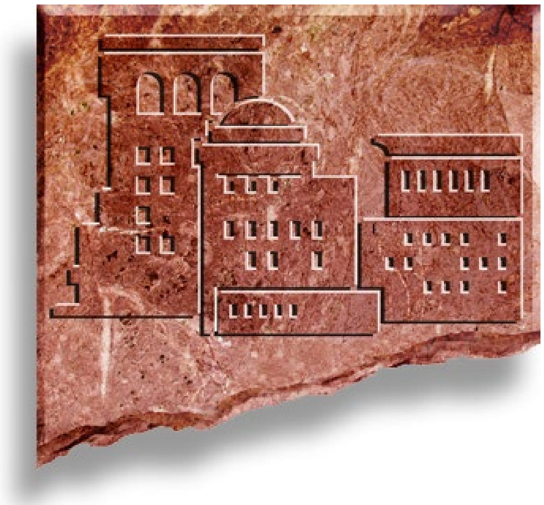
Short Term ($3,359)   Long Term ($330,464)   Short Term % 1.02%

Add'l Assessment or Contribution $0

Total Adjustment $5,476
Adj Operating % 12.01%
Avg Increase/mo $4.00

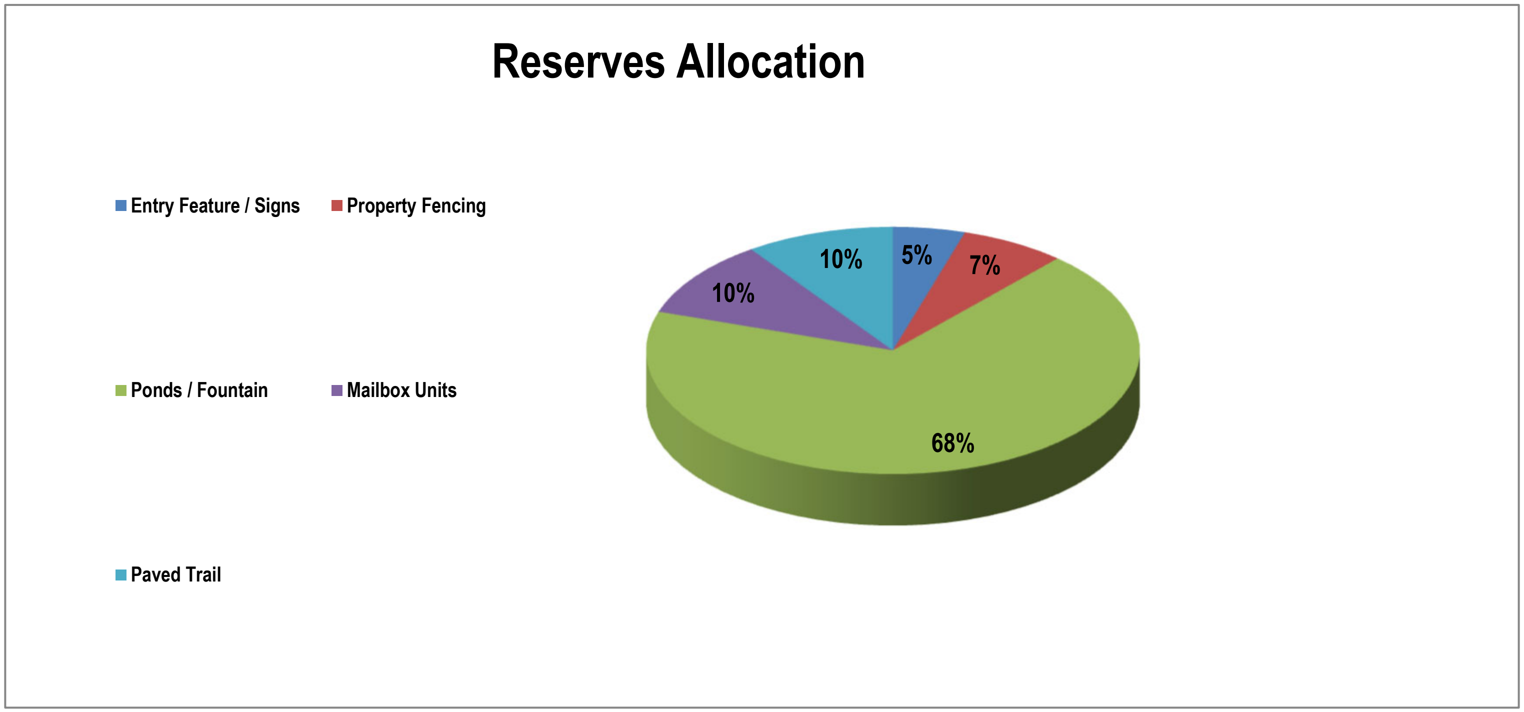
underfunded	slightly underfunded	on pace fully funded	slightly overfunded	overfunded

RESERVE FUNDING GRAPHS

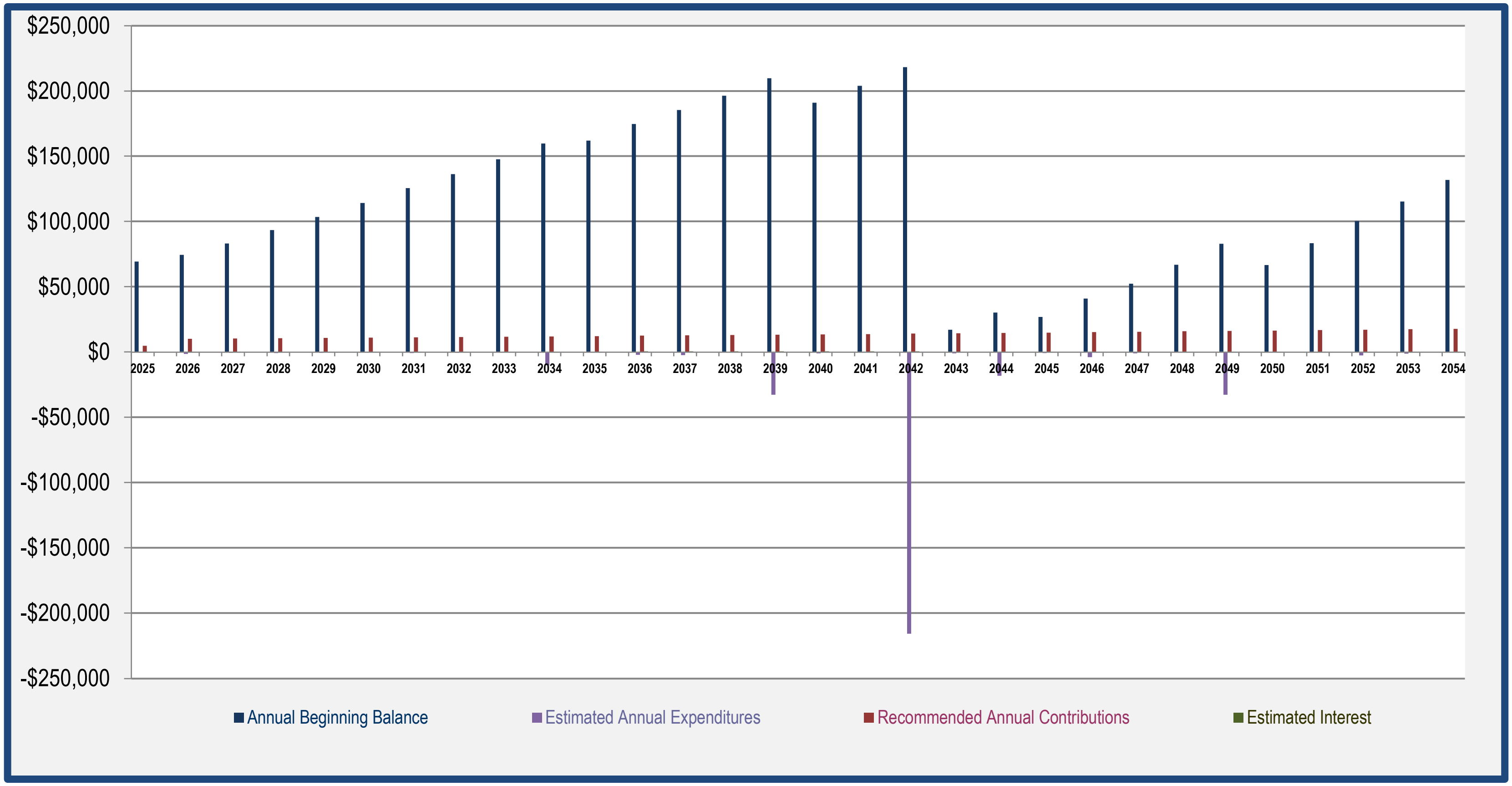


IN THIS SECTION:

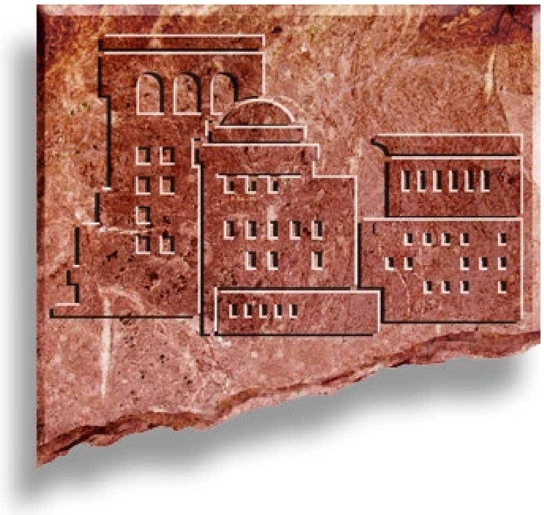
- RESERVE ALLOCATION
- RECOMMENDED FUNDING PLAN


Reserves Allocation
Entry Feature / Signs
Property Fencing
Ponds / Fountain
Mailbox Units
Paved Trail
5%
7%
68%
10%
10%

Recomended Reserve Funding Plan



ASSUMPTIONS & SERVICE CONDITIONS



IN THIS SECTION:

- ASSUMPTIONS
- SERVICE CONDITIONS
- DISCLOSURES
- CREDENTIALS
- ADDITIONAL SOURCES

ASSUMPTIONS and DISCLOSURES

- There are no known actual or perceived conflicts of interest with Clients.
- All data gathered was a collective of an on-site evaluation of conditions, additional expert contractors' findings and historical data provided by the Board / Management. No invasive, structural, or biological testing was done on the property.
- We did not find, nor withheld, any information that could be detrimental to or distort the Associations current or future situation.
- All information presented within this report is accurate and reliable to the best of our knowledge. Information has been provided by the client, the clients approved vendors/contractors and licensed professionals with assumed expertise in fields that relate directly to the reserve study data contained here within. This Reserve Study represents our professional opinion and, as such, carries no assumed liability for this analysis.
- The data contained within the study may be viewed as reliable, however, not as an official audit or quality inspection. The information provided by the Board, management, or expert vendors familiar with the components listed within the report to create the financial plan was not audited.
- The Association should have in place a preventative maintenance plan to include <u>all</u> Association responsible areas and components, not just those listed within the study. This plan should work in conjunction with a Reserve Study.
- Any maintenance or repair information provided by the client was considered in the preparation of this report. Only the maintenance information that has been disclosed was considered.
- A Reserve Study provider, unless otherwise disclosed/provided by the Board/Management, may lack the information to incorporate a necessary corrective action plan. This may include secondary studies/reports for structural integrity (for high rise buildings, based on age and overall condition), biological and hazardous material, pond depth and sediment studies etc. These reports are not incorporated into a Reserve Study, as a Reserve Study is a non-invasive evaluation and financial based report. The Board is responsible for seeking and completing these secondary studies through the expertise of Architectural Engineers, Aquatic or Biological Experts and other professional firms specializing in each respective category. It is important to note that the costs for both the inspections and the projected repair costs may now to be included in the study, once established.
- Unless specifically noted, there are no additional components that are not considered fully within the expenditure projections or funding plan(s) provided.
- The Reserve Specialist shall incur no civil liability for performing the physical or financial portions of the Reserve Study if performed within accordance with these standards.
- Previous Reports, (only those provided by CRS), will be reliant upon the validity of the data from the previous report. No other firms data will be used to create an update at any level.
- For update with site visit and update with no site visit of service, the client is considered to have deemed previously developed component quantities as accurate and reliable.

Ohio Revised Code

Condominiums

Section 5311.081 | Powers and duties of board of directors.

(A) The unit owners association, through the board of directors, shall do both of the following:

(1) Annually, adopt and amend an estimated budget for revenues and expenditures. The budget shall include reserves in an amount adequate to repair and replace major capital items in the normal course of operations without the necessity of special assessments, unless either of the following applies:

(a) The declaration or bylaws include language limiting the ability of the board of directors to increase assessments for common expenses without a vote of the unit owners;

(b) The unit owners, exercising not less than a majority of the voting power of the unit owners association, waive the reserve requirement in writing annually.

(2) Collect assessments for common expenses from unit owners.

Homeowners

Section 5312.06 | Powers and duties of owner's association.

(A) The owners association, through its board of directors, shall do both of the following:

(1) Annually adopt and amend an estimated budget for revenues and expenditures. Any budget shall include reserves in an amount adequate to repair and replace major capital items in the normal course of operations without the necessity of special assessments, unless the owners, exercising not less than a majority of the voting power of the owners association, waive the reserve requirement in writing annually.

(2) Collect assessments for common expenses from owners in accordance with section 5312.10 of the Revised Code.

CREDENTIALS

Lian Velasco. Lian is our Report Coordinator. Lian is helping develop and maintain our new, more efficient report processing. She attended Kent Roosevelt High School where she played on the Varsity Tennis team for 2 years and graduated Magna Cum Laude in 2021. Lian enjoys traveling and art, and since coming to the US in 2015 from the Philippines, has visited many cities throughout Canada and cruised into many ports along the Eastern US Coast. Lian is currently attending Kent State University pursuing a degree in the Aviation field.

John Stojak, R.A. Research Analyst. John has over 20 years of experience as a Board President for a Condominium Owners Association in northeast Ohio and 20+ years as a managing partner in a Sales and Marketing company in the automotive and truck aftermarket. This experience has helped to foster a sense of attention to detail, project planning and understanding association documents. Personally, John is happily married with two children and two grandchildren residing in Northeast and Central Ohio. John graduated from the Illinois Institute of Technology with B.S. in Economics and a background in architectural studies. Hobbies include volunteering for youth Ice hockey programs in northeast Ohio for ages 5 through High School.

Peter Zurowski, S.R.A. Senior Research Analyst. Pete brings with him over 15 years of expertise as an Association Manager and over 30 years in the construction field. His Professional background and experience make him a well-rounded, valuable asset to CRS. Pete is a family man, with his wife of 44 years, 4 children and 15 grandchildren. He was born, raised and still resides in Northeast Ohio. Growing up, he was active in the Boy Scouts and went on to play golf with his high school team. Pete studied at Cuyahoga Community College as he transitioned into Association Management. When he is not working, Pete enjoys his favorite pastimes of golfing and cherishing quality time with his family and loved ones.

Jeff Ripple, R.S., P.R.A., Reserve Specialist**,** Professional Reserve Analyst**,** and Owner Community Reserve Specialists. Jeff brings with him over 20 years of Business Management experience and has achieved such designations in the financial services and wealth management industry as Certified Senior Advisor (CSA), Registered Tax Preparer (RTP), and Investment Advisor Representative (IAR). Jeff proudly served in the United States Marine Corps during Desert Shield/Desert Storm and with a Criminal Justice degree from the University of Akron, as a Law Enforcement Officer upon separation from the military. He was also the youngest to achieve Eagle Scout in the state of Ohio at the time of appointment. Jeff plans on continuing his education in order maintain himself as an ongoing valued consulting asset to our Client base.

SOURCES

While performing our Reserve Studies, we have used multiple sources that are able to provide geographically specific information for estimating current costs of repairs, replacements and new construction. Our sources include web based and proprietary software, local experts and contractors, association management companies as well as our own historical data collected over the years. We find we are able to provide a more accurate determination of current costs while creating a competitive edge for our Associations future project bidding by utilizing these multiple sources. We often are able to work directly with vendors already in place with the Community Board of Directors as well. Although we cannot make endorsements, below are the names of local vendors who are shown to have excellent reviews from the Community Boards of Directors we have worked with over the years. We are not compensated in any way from these vendors, but publish their information as a helpful tool to our Clients.

Legacy Roofing and Siding - 330.645.6000

Perrin Asphalt and Concrete - 330.253.1020

Aqua Doc Pond Maintenance - 800.689.5253

Fairview HVAC Heating and AC - 440-779-2665

Nichols Fence - 330.645.4821

Americaft Plumbing and Supply - 330.487.0555

John Hershey Engineers (Structural Integrity, Transition Studies) - 844.543.7743